

FREE PREVIEW - CHAPTER 1

Why You're Underpriced

The 5 reasons most freelancers stay stuck.

A free chapter from The Freelance Pricing Playbook.
Includes the diagnostic + Worksheet 1 preview.

By FreelanceOS

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FREE EDITION

Full \$19 PDF: freelanceos.io/pricing-playbook

Chapter 1: Why You're Underpriced

This is the first chapter of the Pricing Playbook plus a preview of Worksheet 1. If it's useful, the other 7 chapters and the full worksheets are \$19. If it isn't useful, no harm done. Read on.

There are five reasons freelancers stay underpriced. Most of you have at least three of them. Almost none of you have all five fixed.

Reason 1: You priced yourself off your last salary

When you went freelance, you took your old salary, divided by 2,000 hours, and called that your hourly rate. Maybe you added 20% because someone told you to. So if you used to make \$80,000 a year as a developer, you set your rate at \$48/hr.

That number is wrong by about half. A salaried developer at \$80K costs the company roughly \$110K to \$130K once you add benefits, payroll tax, equipment, software, office, sick days, and the 20% of their time spent in meetings that produce nothing. Your equivalent freelance rate to match that lifestyle is \$75 to \$95/hr, and that is before you account for the fact that you bill maybe 60% of the hours you work because the rest is admin, sales, and unpaid revisions.

Real number: if you want to clear \$80K take-home as a US freelancer, you need to bill around \$120/hr at 25 billable hours per week. Not \$48.

Reason 2: You compete on the freelance marketplace floor

If you are on Upwork, Fiverr, or Contra browsing the public job feed, you are pricing against someone in a country with a \$400/month rent. You will lose that race. The freelancers charging \$200/hr are not on those feeds. They are getting referrals, inbound from a portfolio site, or repeat work from the three clients they signed two years ago.

The fastest single thing you can do to raise your rate is leave the public job feed. You do not need to leave the platform. You just need to stop bidding against 47 other people for a \$300 logo.

Reason 3: You quote based on time, not outcome

A client does not care that the landing page took you 11 hours. They care that the landing page is going to convert at 4% instead of 1.8% and that the difference is worth \$40,000 a year to them. When you quote \$90/hr times 11 hours = \$990, you have anchored them on your time. When you quote \$4,500 to ship a landing page that lifts conversion, you have anchored them on the outcome. Same work. Different number. Different conversation.

Reason 4: You are afraid of the silence after the number

This is the real one. You say "\$2,000" and the client pauses, and the pause feels like four years long, and you panic and say "but I can do \$1,500 if budget is tight." You just lost \$500 by talking. Stop talking after you say the number. The pause is the client doing math, not rejecting you.

I lost roughly \$18,000 over two years to this single habit before I noticed it. Count the seconds in your head if you have to. They will speak first.

Reason 5: Your portfolio is selling the wrong thing

Most freelancer portfolios show what they made. Premium freelancer portfolios show what their work did. "Designed a website for X" is a \$60/hr portfolio. "Redesigned X's checkout, lifted completion rate 22%, recovered \$180K/year in abandoned revenue" is a \$200/hr portfolio. The work might be identical. The framing is not.

Diagnostic: Which of these is killing your rate?

Score yourself 1 to 5 on each (1 = not me, 5 = exactly me):

- * I set my rate by dividing an old salary by 2,000.
- * I am still bidding on public marketplace jobs.
- * I quote in hours or days, not project totals.
- * I have softened my price after a client paused.
- * My portfolio describes what I built, not what it produced.

Anything 4 or 5 is a leak. Add up the numbers. If you scored over 15, you are leaving 50%+ on the table. The rest of this book fixes each one in order.

DO THIS TODAY

- * Write down your current effective hourly rate (last 90 days revenue divided by hours worked, including unpaid).
- * Score yourself on the five-question diagnostic.
- * Pick the highest-scoring leak as the chapter you read next.
- * Cancel any active marketplace bids you are competing on price for.
- * Open a doc called "Rate Migration" and write the date at the top. You'll use it through the rest of the book.

Worksheet 1 (preview): The Rate Calculator

This is the first 5 of 8 inputs from Worksheet 1. Fill these in honestly. The full worksheet (with the market floor + value target inputs that produce your defensible rate) is in the \$19 Playbook.

1. Annual take-home target (after tax)

\$ _____

2. Annual business costs (software, tools, accountant, equipment)

\$ _____

3. Annual tax owed (estimate gross-up at 28%)

\$ _____

4. Total revenue needed (sum of lines 1, 2, 3)

\$ _____

5. Realistic billable hours per year (be honest — most bill 18-22/week, not 40)

_____ hrs

Cost-plus rate = line 4 / line 5 = \$ _____ /hr

Most freelancers stop here. That's a mistake. Cost-plus is the floor, not the rate. The full Worksheet 1 includes the market-floor and value-target inputs that get you to a defensible final rate.

READY FOR THE OTHER 7 CHAPTERS?

Get the full Pricing Playbook for \$19

31 pages, 8 chapters, 3 fill-in worksheets, 3 rate-raise email scripts.
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